

Avalos 2

Accept the Future of Large-Scale Performing Arts recommendations to advance a new Broadway-capable venue as part of the proposed Performing Arts + Culture Center at Portland State University, and initiate planning for the future of the Keller Auditorium

Resolution

WHEREAS, the City of Portland recognizes the need for a comprehensive and collaborative approach to downtown revitalization that celebrates investments in creative placemaking that supports arts and cultural opportunities to restore and enhance our Central City as a vibrant, inclusive, and thriving urban center; and

WHEREAS, in 2017, a private design competition was held to conceptualize what might be possible for a grand scale Keller renovation on site; and

WHEREAS, the March 2020 Keller Seismic Analysis Summary Report identified that the Keller Auditorium was not built to withstand major earthquakes and requires significant structural enhancements to weather a major seismic event; and the report outlined the structural deficiencies of the Keller Auditorium and potential options for remedy, including Option 1b: limited building renovation that addresses only seismic upgrades; Option 2: a major renovation including new additions; and Option 3: a new facility on the existing site or an alternative site; and

WHEREAS, an association of neighborhood property owners and design professionals, the Halprin Landscape Conservancy, became interested in continuing this work and further refining Option 2 with a large-scale renovation concept to see if it would be feasible; and

WHEREAS, in a joint letter dated September 14, 2022, between the City of Portland and Metro, the City and Metro each committed \$200,000 in funding toward the Halprin Landscape Conservancy while requiring an additional private match of \$200,000 to further develop a large-scale renovation option to determine its feasibility; and

WHEREAS, on September 27, 2023, Halprin Landscape Conservancy presented their concept for a renovated Keller Auditorium to Portland City Council; and

WHEREAS, in order to better understand the possibilities of replacing the theater with a new state-of-the-art facility on an alternate site as outlined in Option 3 of the Seismic Analysis, the City released a Request for Expression of Interest (RFEI) on July 12, 2023 to explore potential new performing arts facility sites in Portland; and

WHEREAS, on August 11, 2023, the City received eight proposals in response to the RFEI and narrowed them down to five on September 25, 2023 for further discussion; and

WHEREAS, further discussions were conducted the week of October 23, 2023 with the five proposers and on November 9, 2023, the top two proposals were selected for further study: Urban Renaissance Group at Lloyd Center and Portland State University; and

WHEREAS, on January 31, 2024, the two proposers were each awarded \$50,000 grants from the City's Spectator Venues Program to develop conceptual designs and test the feasibility of their sites for a new performing arts facility; and

WHEREAS, on May 22, 2024, the City received an economic impact study to better understand the impacts of a closure of the Keller Auditorium for a potential future renovation which showed that the combined economic impact of a venue closure, with no alternative location for shows, would be profound; and

WHEREAS, on May 28, 2024, an independent cost consultant with extensive experience in performing arts facilities retained by Metro, estimated the costs of the three proposals: Keller renovation, \$290 million; Lloyd Center, \$429 million and Portland State University, \$447 million; and

WHEREAS, on May 29, 2024, all three groups presented their renovation and new facility design concepts to City Council and more than 61 community members and interested parties signed up to testify and provide written testimony; and

WHEREAS, on May 31, 2024, formal public outreach began, including targeted stakeholder engagement meetings with Metropolitan Exposition and Recreation Commissioners, arts organizations, Portland's Centers for the Arts Youth Council, Travel Portland, Portland Metro Chamber, Portland's staff, labor (IATSE Local 28), independent venues, and Portland's Community Arts and Culture Council, and a monthlong public survey to hear community members' values and priorities for a new or renovated premier performing arts facility; and

WHEREAS, on July 8, 2024, the formal public outreach period closed and the City and its consultants began analyzing feedback data to create a community engagement summary report for City Council; and

WHEREAS, during the outreach period and at the May 29, 2024 City Council presentation, two key themes emerged: first, that there is a preference among users, arts groups, employees, labor unions, operators, regional tourism interests and Central City business interests to avoid any closure period that impacts the ability to hold large productions at Keller Auditorium; and second, that there is a high level of attachment to the current site, its proximity to the Keller Fountain, and concern about what would happen to the current site if large theatrical productions were moved to a new venue; and

WHEREAS, after evaluating the economic impact study and receiving extensive input from users, arts groups, employees, operators, regional tourism interests and Central City business interests, it is evident that the negative impacts of a construction closure could be avoided if an alternative option exists that would not shutdown operations for any extended period of time; and

WHEREAS, on August 14, 2024, the City Council was presented with the results from community engagement and the Mayor directed staff to work with the Halprin Landscape Conservancy and Portland State University teams to identify a solution to bring the two teams together to form a recommendation that best meets the needs of Portlanders and avoids a prolonged closure of Portland's premiere large performing arts theater; and

WHEREAS, the teams from Halprin Landscape Conservancy and Portland State University met nine times over the course of five weeks in 2024, and invited subject matter experts from Portland's Centers for the Arts, the resident nonprofit arts companies and labor to provide input before reaching consensus on a two Broadway-capable venue strategy; and

WHEREAS, on October 10, 2024, City Council unanimously adopted Resolution #37680 to accept the recommendation to pursue a strategy to develop two Broadway-capable venues, avoiding a prolonged closure of the Keller Auditorium, while greenlighting the path for a traffic study, market feasibility study to better understand the opportunity for a two-venue strategy and the appropriate seat count for Broadway-capable venues, and subsequent financing strategy; and

WHEREAS, on October 31, 2024, City Council adopted Resolution #37684 establishing a performing arts venues workgroup to evaluate management of the Portland's Centers for the Arts facilities; and

WHEREAS, on June 25, 2025, the performing arts venues workgroup published final recommendations, including the short-term recommendations to address deferred maintenance and necessary building modernizations upgrades and future replacement by completing facility condition assessments; immediately beginning capital planning; and committing to not fund capital maintenance with surplus revenue from venue operations; and

WHEREAS, on June 27, 2025, the City received a transportation study from the firm DKS Associates of the potential scenarios, including renovation of the Keller site, the construction of a new venue at Portland State University, and combined uses at both locations, that found no fatal flaws but identified challenges and opportunities with potential considerations for future site refinement and recommended a lane reduction

pilot project at the existing Keller site and the incorporation of traffic impact reduction treatments at the Portland State University site as project design advances; and

WHEREAS, in June 2025, the Oregon legislature adopted Senate Bill 5505, allocating \$85 million in bonds for Portland State University's Performing Arts and Culture Center for the construction of a community theater and academic space, and \$52.5 million in bonds for associated on-site parking infrastructure that could support and enhance a future City-owned facility at that site; and

WHEREAS, on November 15, 2025, the City signed a Letter of Intent (LOI) with Portland State University for future site development that included development concepts, policy visions, financial evaluation, building programming, desired scope and operations of the building; and

WHEREAS, in January 2026, the City received a market feasibility study completed by Hunden Partners, a nationally recognized consultant with expertise in real estate development, tourism development and economic development, from July to December 2025 that found there is insufficient market demand or comparable market support to justify two Broadway-capable venues in Portland, that a new venue should focus on maximizing Broadway content and maintaining theatre-style commercial content while also being an accessible home to resident companies and non-profits, and that the ideal seating capacity of a new venue is 3,200; and

WHEREAS, in April 2026, the City received an economic impact study conducted by Hunden Partners from March to April 2025, informed by the findings from the market feasibility study that considered projected stabilized demand, revenue, and economic impact projections for a renovated Keller with an assumed 3,000-seat capacity and a new Portland State University venue with an assumed 3,200-seat capacity and found that a larger new venue at Portland State University is expected to achieve a lift of 8 percent in attendance, 12 percent in operating revenues, and 16 percent in economic impacts compared to a renovated Keller; and

WHEREAS, in April 2026, the City received a facility condition assessment for the Keller Auditorium that found the building no longer meets modern performance expectations, many building envelope and theatrical systems show extensive deterioration, and investments estimated at \$8.5 million to \$17.5 million are needed to maintain current service levels for the next ten years – in addition to the more significant deferred maintenance and seismic needs; and

WHEREAS, in November 2025, the Deputy City Administrator for Community & Economic Development appointed an 11-member steering committee with technical expertise in

architecture, construction, finance, fundraising, performing arts, public-private partnerships, real estate development, urban planning and venue operations, which met eight times between December 2025 and June 2026 to review relevant reports and studies related to this project; and

WHEREAS, on June 24, 2026, the steering committee submitted its unanimous recommendation to build a new Broadway-capable venue at Portland State University as part of the proposed Performing Arts + Culture Center and, simultaneously, create an actionable plan to reimagine the Keller Auditorium and/or site based on Portland's historic, cultural, and civic values; and

WHEREAS, in November 2025, Mayor Wilson invited key stakeholders from Portland's performing arts ecosystem, including members of the Portland City Council, the Multnomah County Board of Commissioners, and the Metro Council, to join his ex officio table, which met four times between January and June 2026 to review the details of the City's studies related to this project; and

WHEREAS, on June 26, 2026, a majority of the Mayor's ex officio table submitted a recommendation for a phased approach to build a new Broadway-capable venue at Portland State University; maintain Broadway programming at Keller during construction of the new venue to avoid economic losses and continue cultural activity; initiate planning for the Keller's future as a right-sized 1200 to 1800-seat venue that addresses unmet market needs; then begin renovation of the Keller Auditorium when the Portland State University venue becomes operational; and

WHEREAS, Prosper Portland has a longstanding Disposition and Development Agreement with Portland State University for partnership in the North Macadam Tax Increment Finance District, which includes \$7.2 million in funding for redevelopment of the University Place site.

NOW, THEREFORE, BE IT RESOLVED that this resolution with the attached Exhibits A-E is accepted by the City Council; and

BE IT FURTHER RESOLVED that the City Council affirm the City's commitment to a new City-owned approximately 3,000-seat Broadway capable venue as part of the proposed Performing Arts + Culture Center at Portland State University at 310/330 SW Lincoln Street, with a goal of opening in 2030, capitalizing on the state's funding commitment of \$137.5 million, public private partnerships, and a future forward vision that expands Portland's arts ecosystem; and

BE IT FURTHER RESOLVED that the Deputy City Administrator is directed to stand up a staff project team of technical experts with Portland State University to complete pre-

development functions, including but not limited to: develop a detailed financial plan with a fully defined capital stack, ~~and~~ funding timelines, ~~and return on invested capital (ROIC)~~ that provides a clear understanding of the City's obligations and costs for the project; direct a cohesive, comprehensive philanthropic strategy, collaborate with the Portland State University Foundation in its role as lead philanthropic strategist, and work together to identify and secure necessary funding; provide input into the initial phases of the project and project construction management direction; and

BE IT FURTHER RESOLVED that adoption of this resolution does not authorize, appropriate, or commit City funds for development or construction of the proposed Portland State University venue beyond funding previously authorized by City Council; and

BE IT FURTHER RESOLVED that prior to execution of any agreement that financially obligates the City to development or construction of the proposed Portland State University venue, the Deputy City Administrator shall return to City Council with the detailed financial plan described in this resolution, including a fully defined capital stack, total estimated project cost, proposed City contribution and funding sources, confirmed and anticipated funding from other public and private partners, anticipated ongoing City operating and maintenance obligations, return-on-invested-capital analysis, and material financial risks, for City Council review and approval.

BE IT FURTHER RESOLVED that the Deputy City Administrator is directed to develop a Project Commitment Agreement with Portland State University by December 1, 2026, that establishes the scope, schedule, and governance framework for the project and a shared commitment between the City and Portland State University to develop and implement the full capital funding strategy; and

BE IT FURTHER RESOLVED that the Deputy City Administrator is directed to designate a pre-development steering committee to participate in the process as needed; and

BE IT FURTHER RESOLVED that while development of a new Broadway-capable venue at Portland State University is ongoing, programming, including Broadway shows, will continue at the Keller Auditorium to avoid economic losses and to continue cultural activity; and

BE IT FURTHER RESOLVED that the Deputy City Administrator is directed to direct staff to initiate planning for the future of the Keller Auditorium, including conducting community engagement, market study, financial analysis, and initial design work to determine feasibility as a renovated 1,200 to 1,800-seat performing arts venue.